

Due to increased globalization, correlations are higher now among emerging markets, as well as between emerging and developed markets. [Figure 5.4](#) shows the five-year rolling monthly correlations between emerging and developed markets. It was below 0.30 in the 1990s. However, for the past three years the correlation has remained steady at over 0.90.

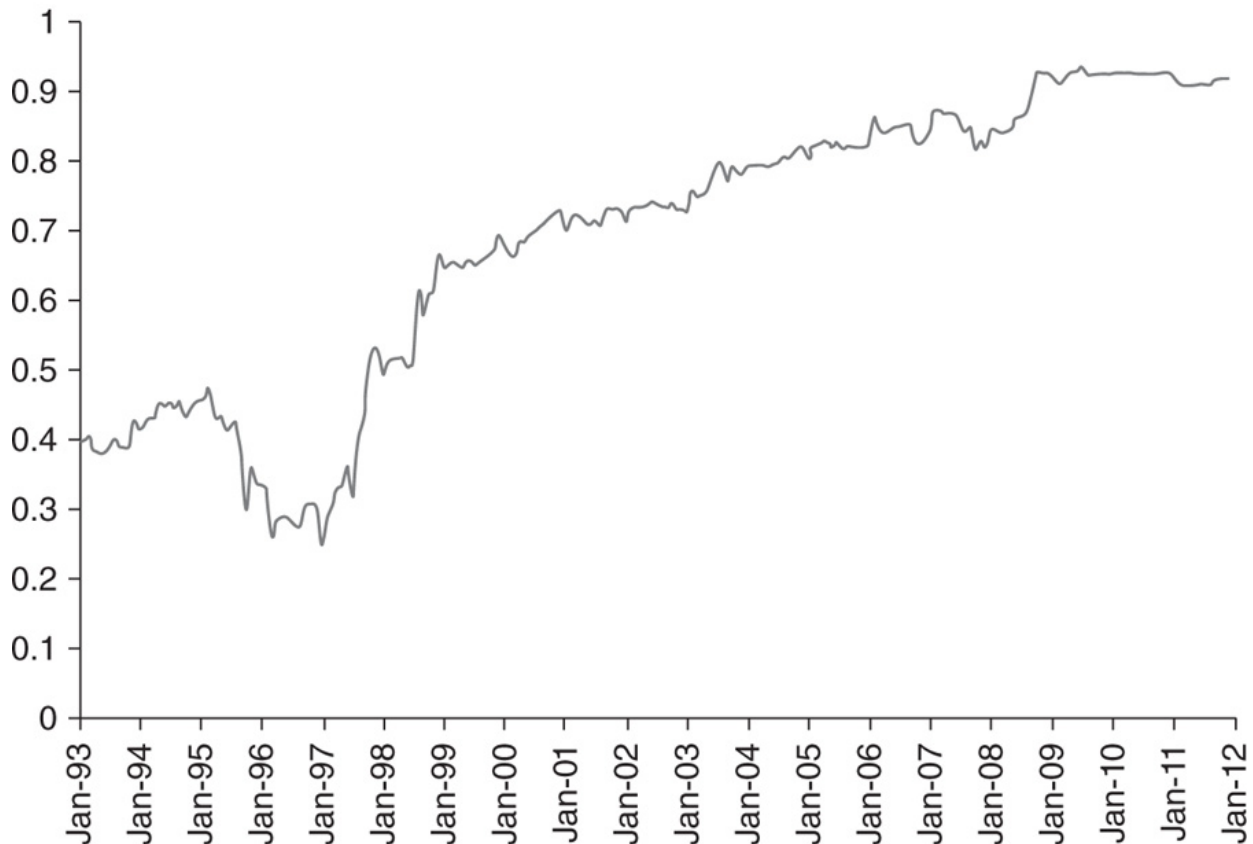


Figure 5.4 Five-Year Rolling Monthly EAFE Versus Emerging Market Correlations

From a diversification point of view, emerging markets have lost much of their appeal. What they mostly add now is additional volatility and uncertainty, which is generally undesirable. We include emerging assets in our dual momentum-based model by virtue of their natural inclusion in the non-U.S. equity index portion of our portfolio. Since that index is capitalization weighted, emerging markets make up only 14% of that index. We could easily drop emerging markets entirely from our dual momentum portfolio without a significant dilution in our results.